



Budgeting

MBA Financial Management & Accounting — Topic 8

8.1 Definition of a budget

8.2 The Role of a Budget

8.3 The Budgeting Process

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8.1 What Is a Budget?

Core Definition

A **budget** is a plan of action that has been quantified or expressed in monetary terms. It translates an organisation's intentions into financial language, making those intentions actionable and measurable.

Budgeting is an integral part of the planning process it allows an organisation to quantify its plan in money terms to enable its implementation.

From Strategy to Action

Budgets sit at the operational end of a strategic hierarchy. A typical planning cascade looks like this:



8.2 The Role of a Budget

Budgets serve multiple critical functions within an organization, far beyond simply tracking money. They are management tools that shape behaviour, align effort, and drive performance.

Planning Operations

Sets out expected activities, resources and financial requirements for a specified future period, giving the organisation a financial roadmap.

Coordinating Activities

Aligns different departments and functions so they work towards common organisational objectives, preventing duplication and conflict.

Communication Tool

Communicates management's plans, targets, priorities and resource allocations to managers and employees throughout the organisation.

Motivator

Provides employees and managers with clear, measurable targets that encourage improved performance and achievement of organisational goals.

Control (Variance Analysis)

Provides a benchmark against which actual results are compared, with variances analysed to identify deviations and trigger corrective action.

Performance Evaluation

Provides financial and operational targets against which the performance of departments, managers and the organisation as a whole can be assessed.

8.3 The Budgeting Process — Steps 1 to 4

The budgeting process varies by organisational size and complexity, but typically follows a structured sequence of eight activities. The first four steps lay the groundwork for a realistic and coordinated budget.

1 Communicate Budget Details

Management communicates budgeting objectives, guidelines, assumptions, timelines and responsibilities to all departments. This ensures everyone understands what is expected and how their budget should be prepared.

2 Determine Limiting Factors

The organisation identifies key limiting factors that may constrain its ability to achieve its plans such as market demand, production capacity, availability of skilled labour, finance or raw materials. These factors provide the basis for setting realistic budget targets.

3 Prepare Draft Budgets

Each department prepares its draft budget based on planned activities, resources and targets. Cost centres mainly budget for expenditure; revenue/cost centres budget for both income and expenditure. Individual departmental budgets are then submitted for consolidation.

4 Negotiate Draft Budgets

Departmental managers discuss proposed budgets with supervisors to assess whether targets, revenues and costs are realistic and achievable. Adjustments are negotiated where necessary to balance organisational expectations with operational realities.

8.3 The Budgeting Process — Steps 5 to 8

The second half of the budgeting process moves from review and approval through to implementation and ongoing monitoring closing the loop between planning and control.

5 Coordinate and Review Draft Budgets

Management reviews and coordinates departmental budgets to ensure consistency with one another and with the organisation's overall strategy. The revised departmental budgets are consolidated into the **master budget**.

7 Budget Implementation

The approved budget is put into operation by allocating resources and implementing planned activities, revenues and expenditures. Managers are responsible for ensuring actual operations are conducted within the approved budget.

6 Final Acceptance and Approval

Senior management, the budget committee or the board reviews and formally approves the final master budget. Once approved, it becomes the organisation's official financial and operational plan for the budget period.

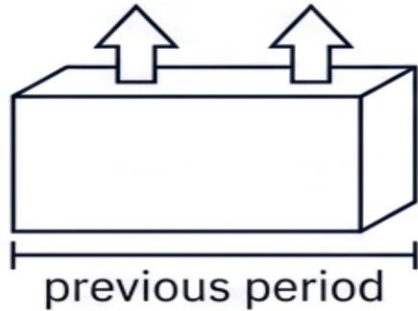
8 Budget Monitoring and Review

Actual performance is regularly compared with budgeted performance and significant variances are investigated to identify their causes. Where necessary, management takes corrective action or revises the budget to reflect significant changes in operating conditions.

8.4 Approaches to Budgeting

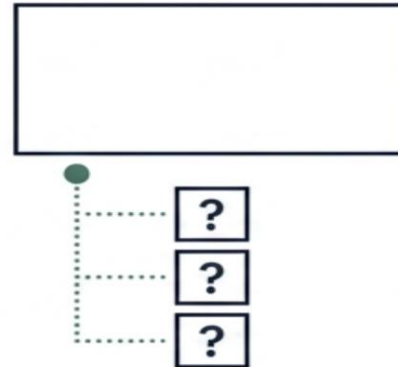
Three main approaches exist for preparing budgets, each suited to different organisational contexts and information availability.

+ inflation + growth



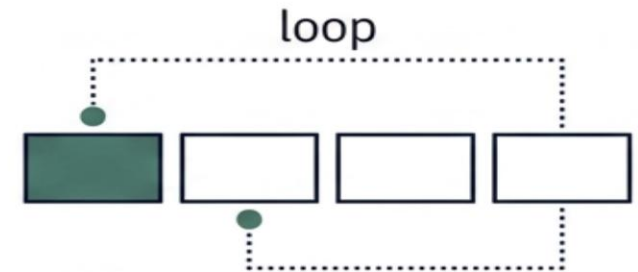
TRADITIONAL

**Uses previous
Uses previous period
as starting point,
adjusts for inflation
and growth**



ZERO-BASED

**Every activity
Every activity justified
from zero each period,
no automatic carry-
carry-forward**



ROLLING

**Current month
Current month actuals
become next month
budget, continuously
updated**

Traditional / Incremental Budgeting

The most widely used approach, the new budget is prepared by taking the previous period's budget or actual results as the starting point and adjusting for expected changes such as inflation, growth or new activities.

Benefits

- **Simple and easy to prepare** because it uses existing budgets as the starting point.
- **Saves time and resources** compared with preparing the entire budget from scratch.
- **Provides continuity** by maintaining established activities and expenditure patterns.

Limitations

- **Perpetuates inefficiencies** — unnecessary expenditure from the previous period may automatically be carried forward.
- **Encourages budgetary slack** — managers may deliberately overstate costs or understate revenues.
- **May discourage innovation** — focus is often on adjusting existing activities rather than questioning whether they remain necessary.

Zero-Based Budgeting (ZBB)

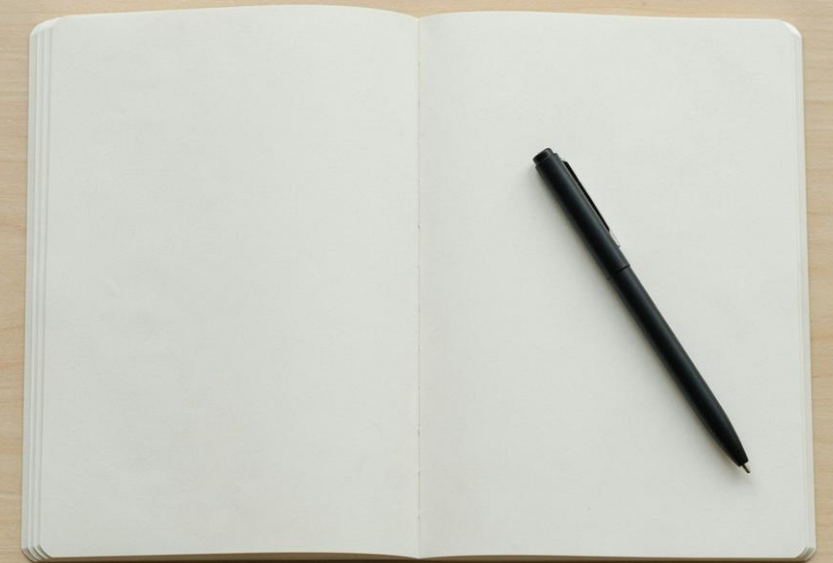
ZBB requires each activity or expenditure to be justified from zero for every budget period, rather than automatically carrying forward the previous budget. Nothing is assumed, everything must earn its place.

Benefits

- **Eliminates unnecessary expenditure** by requiring all activities to be justified.
- **Improves resource allocation** by directing resources towards activities with greater strategic value.
- **Encourages efficiency and cost consciousness**, managers must demonstrate the value of proposed expenditure.

Limitations

- **Time-consuming and costly** activities and expenditures must be analysed and justified in detail.
- **Complex to implement**, particularly in large organisations with many departments and activities.
- **May focus excessively on short-term costs**, potentially leading to cuts in important long-term investments or strategic activities.



Rolling Budgeting

Rolling budgeting is particularly relevant where there is no historic data, such as in the case of a new venture. The actual results for the current month become the budget for the next month, and this continues until the organisation obtains sufficient data for traditional budgeting. It is a continuously updated, forward-looking approach.

Benefits

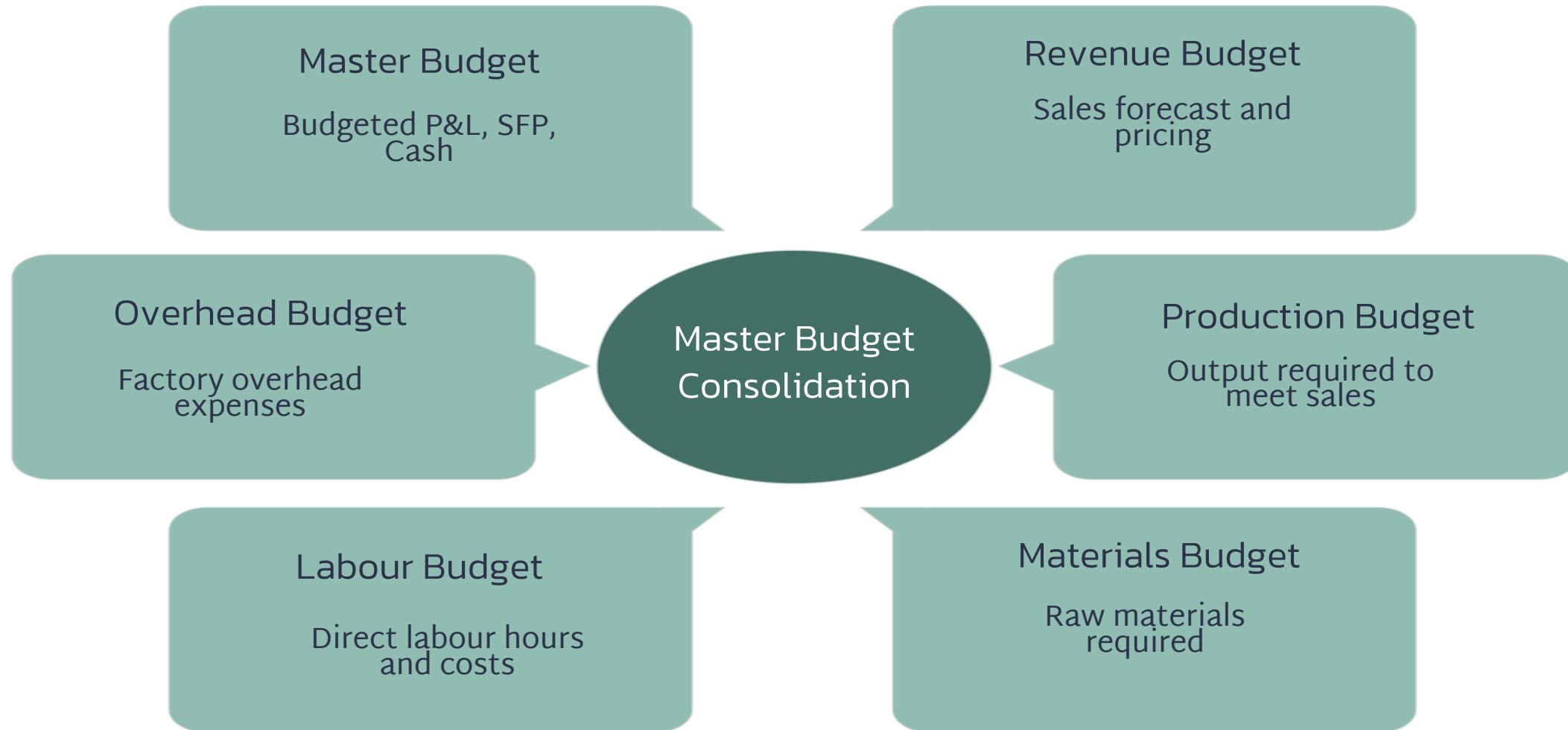
- **Keeps budgets current** by incorporating recent information and changing business conditions.
- **Improves planning and forecasting** management continuously looks ahead beyond the current budget period.
- **Provides greater flexibility** to respond to changes in demand, costs, economic conditions and business strategy.

Limitations

- **Requires continuous effort and resources** to update the budget regularly.
- **Can create budgeting fatigue** among managers and employees due to frequent revisions.
- **May reduce certainty and commitment** if managers perceive that targets and resource allocations are constantly changing.

8.5 Types of Budgets — Overview

For a complete understanding of budget types, we assume the context of a **manufacturing business**. A full suite of interrelated budgets is prepared, each feeding into the next, ultimately culminating in the master budget comprising the budgeted profit or loss, statement of financial position, and cash budget.



Each budget type has a specific purpose and a defined method for deriving its estimates. The twelve key budget types are explored across the following slides.

Budget Types 1–3: Revenue, Production & Inventory

1. Revenue Budget (and Other Incomes)

Estimates expected revenue from the sale of goods/services and other income such as interest, rent, commissions or dividends during the budget period.

How to estimate: Sales volume × selling price for each product/service, based on historical trends, market demand, sales forecasts, pricing plans and expected other income.

2. Production Budget

Shows the quantity of goods that must be produced during the budget period to meet expected sales and desired closing inventory levels.

Formula: Budgeted production = Budgeted sales + Desired closing inventory – Opening inventory.

3. Inventory Levels Budget

Estimates the quantities and values of raw materials, work-in-progress and finished goods to be held at the beginning and end of the budget period.

How to estimate: Determine desired inventory levels based on expected sales/production requirements, lead times, safety-stock policies, production cycles and inventory turnover targets.

Budget Types 4–6: Materials & Labour

4. Direct Materials Usage Budget

Estimates the quantity and cost of direct materials that will be consumed in producing the planned output.

Formula: Materials usage = Production quantity × Standard material quantity per unit; then multiply by the standard material cost per unit.

5. Direct Materials Purchase Budget

Estimates the quantity and cost of materials that must be purchased to support production while maintaining required inventory levels.

Formula: Materials purchases = Materials required for production + Desired closing materials inventory – Opening materials inventory; multiply the purchase quantity by the expected purchase price.

6. Direct Labour Budget

Estimates the labour hours and cost required to produce the budgeted level of output.

Formula: Labour hours = Production quantity × Standard labour hours per unit; Labour cost = Labour hours × Standard wage rate per hour.

Budget Types 7–9: Overheads, Non-Production Costs & Profit

7. Production Overheads — Variable and Fixed

Estimates indirect production costs including variable costs (indirect materials, power) and fixed costs (factory rent, depreciation, supervision).

How to estimate: Variable overheads use an overhead rate $\times$ expected activity/output; fixed overheads are based on existing commitments, contracts, depreciation schedules and planned capacity changes.

8. Non-Production Costs

Estimates expenses incurred outside production, advertising, sales commissions, distribution, administration, research and other operating expenses.

How to estimate: Use historical expenditure, activity levels, contracts, staffing plans, marketing programmes and management policies, distinguishing variable and fixed costs where appropriate.

9. Budgeted Profit or Loss

Forecasts the organisation's expected revenue, operating costs, finance costs and resulting profit or loss for the budget period.

How to obtain: Combine the revenue budget and other income with production and non-production expense budgets; the result is the forecast operating profit/loss, followed by finance costs and tax where applicable.

Budget Types 10–12: SFP, Cash & Capital Budgets

10. Statement of Financial Position Budget / Forecast

Forecasts the organisation's expected assets, liabilities and equity at the end of the budget period.

How to obtain: Prepare a forecast SFP using information from operating budgets, cash budget, capital expenditure budget, working-capital estimates, depreciation, borrowings, retained earnings and other balance-sheet assumptions.

11. Cash Budget

Estimates expected cash receipts, cash payments and resulting cash surplus or deficit during each period.

How to obtain: Start with the opening cash balance; add expected cash receipts (cash sales, collections from customers); deduct cash payments (suppliers, wages, overheads, taxes, loan repayments, capital expenditure); determine the closing cash balance and financing requirement.

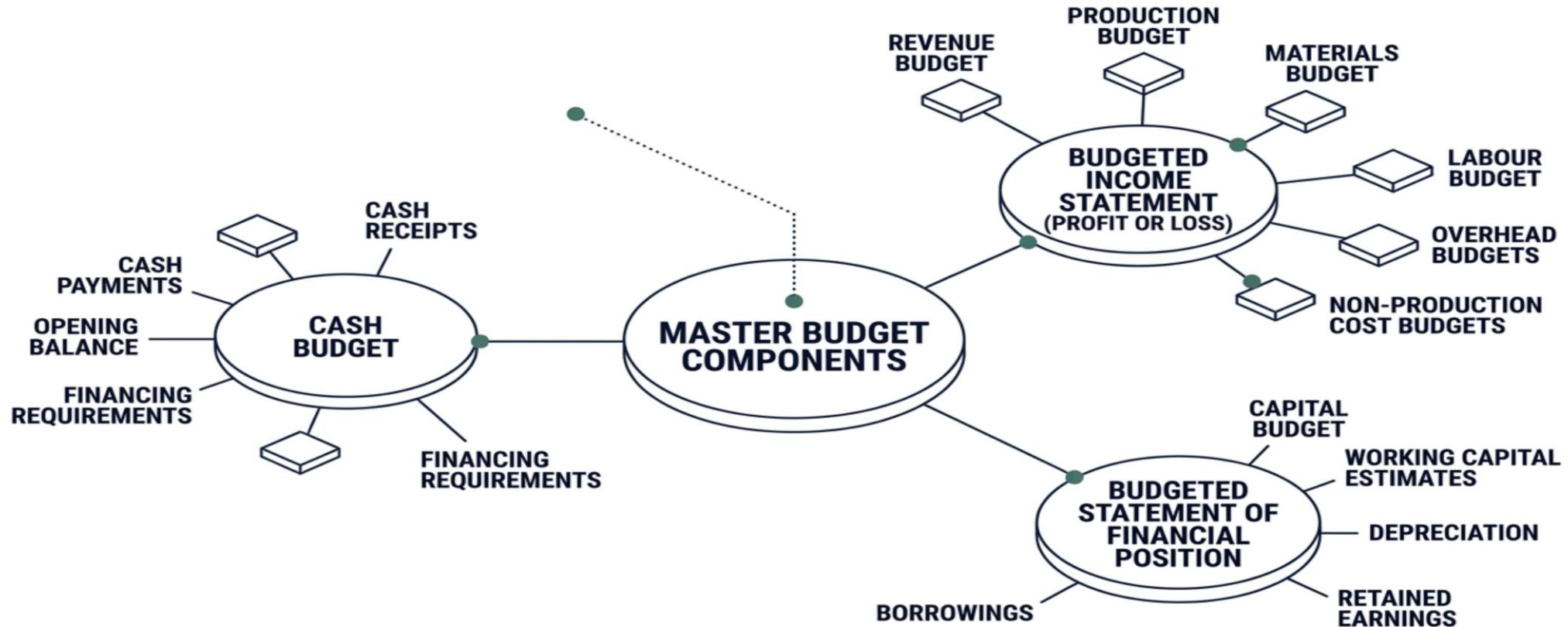
12. Capital Budgeting (CAPEX Budget)

Estimates expenditure on long-term assets and investments such as buildings, machinery, vehicles, equipment, technology and major expansion projects.

How to obtain: Identify proposed capital projects; estimate acquisition and implementation costs, timing of cash flows and expected benefits; evaluate using NPV, IRR, payback period and profitability index before approval. *(Covered in the next module.)*

The Master Budget — Bringing It All Together

The **master budget** is the consolidated financial plan for the entire organisation, produced by combining all individual departmental and functional budgets. It represents the organisation's official financial and operational plan for the budget period once formally approved.



The master budget is reviewed and formally approved by senior management, the budget committee or the board before implementation. It then serves as the benchmark for variance analysis and performance evaluation throughout the budget period.

8.5.2 Introduction to Variance Analysis

Variance analysis is the process of comparing actual financial or operational results with budgeted or standard results to identify and investigate differences, enabling management to understand why performance differed from expectations and take appropriate corrective action.

Favourable (F) Variance

Occurs when the difference **improves** the organisation's financial performance for example, actual revenue is higher than budgeted, or actual costs are lower than budgeted.

Unfavourable / Adverse (U/A) Variance

Occurs when the difference **reduces** financial performance such as actual revenue being lower than budgeted or actual costs being higher than budgeted.

- ❏ A favourable or adverse variance does not necessarily mean performance was inherently good or bad. Management must always investigate the underlying causes and business context before drawing conclusions.

Management by Exception

Management should set a **variance threshold** to focus attention and management resources on significant deviations from the budget, rather than investigating every small difference, this is the principle of **management by exception**.

Example Threshold

Management may establish a threshold of **5% or \$50,000**, only variances exceeding either threshold require detailed investigation and corrective action. Smaller variances are treated as normal operational fluctuations.

Applies Both Ways

The threshold should apply to both favourable and unfavourable variances. A large favourable variance may indicate unrealistic budgeting, unexpected changes, errors, or unsustainable performance, all of which require investigation.

Purpose

Ensures management time and resources are directed where they matter most, improving the efficiency and effectiveness of the control process.

Sales Variances

Sales variances measure the impact of differences in selling price and sales volume on the organisation's revenue performance relative to budget.

Variance	Favourable (F) — Possible Causes	Unfavourable/Adverse (U/A) — Possible Causes
(i) Sales Price Variance	Actual selling price higher than budgeted; successful price increases; stronger demand; improved product quality or brand positioning.	Actual selling price lower than budgeted; discounts/promotions; increased competition; weak demand; lower product quality or adverse market conditions.
(ii) Sales Volume Variance	Actual sales volume higher than budgeted; effective marketing; increased demand; successful sales efforts; favourable market conditions.	Actual sales volume lower than budgeted; weak demand; ineffective marketing; increased competition; supply constraints or adverse economic conditions.

Material Variances

Material variances analyse whether the organisation spent more or less than expected on direct materials, separating the effect of price changes from the effect of usage efficiency.

Variance	Favourable (F) — Possible Causes	Unfavourable/Adverse (U/A) — Possible Causes
(iii) Material Price Variance	Actual material price lower than standard; bulk discounts; favourable supplier negotiations; cheaper suppliers; lower market prices.	Actual material price higher than standard; inflation; supplier price increases; emergency purchases; unfavourable exchange-rate movements.
(iv) Material Usage Variance	Actual quantity used less than standard; efficient production; reduced wastage; better-quality materials; improved production methods.	Actual quantity used greater than standard; excessive wastage; poor-quality materials; inefficient production; defective materials or inadequate staff skills.

Labour Variances

Labour variances measure whether the organisation paid more or less than expected per hour (rate variance) and whether workers were more or less productive than planned (efficiency variance). An additional **idle time variance** always adverse arises when workers are paid for periods of enforced idleness, typically due to machine breakdowns.

Variance	Favourable (F) — Possible Causes	Unfavourable/Adverse (U/A) — Possible Causes
(v) Labour Rate Variance	Actual wage rate lower than standard; use of lower-cost labour; favourable wage negotiations; use of less-skilled workers where appropriate.	Actual wage rate higher than standard; overtime; wage increases; use of more-skilled or expensive labour; unfavourable labour negotiations.
(vi) Labour Efficiency Variance	Actual labour hours less than standard hours for actual output; higher worker productivity; better supervision; improved methods or equipment.	Actual labour hours greater than standard hours; low productivity; poor supervision; machine breakdowns; inadequate training or inefficient production methods.
Idle Time Variance	<i>Always Adverse</i> — not applicable.	Workers paid for being idle due to machine breakdowns or other production stoppages; always an adverse variance.

Variable Overhead Variances

Variable overhead variances separate the effect of spending more or less per unit of activity (expenditure variance) from the effect of using more or fewer activity hours than planned (efficiency variance).

Variance	Favourable (F) — Possible Causes	Unfavourable/Adverse (U/A) — Possible Causes
(vii) Variable Overhead Expenditure Variance	Actual variable overhead expenditure per unit of activity lower than standard; lower utility/indirect material costs; cost savings; improved efficiency in overhead spending.	Actual variable overhead expenditure per unit of activity higher than standard; increased utility or indirect material prices; wastage; inefficient overhead spending.
(viii) Variable Overhead Efficiency Variance	Actual activity hours less than standard hours required for actual output, indicating efficient use of the activity base.	Actual activity hours greater than standard hours required for actual output, indicating inefficient use of labour/machine hours or production resources.

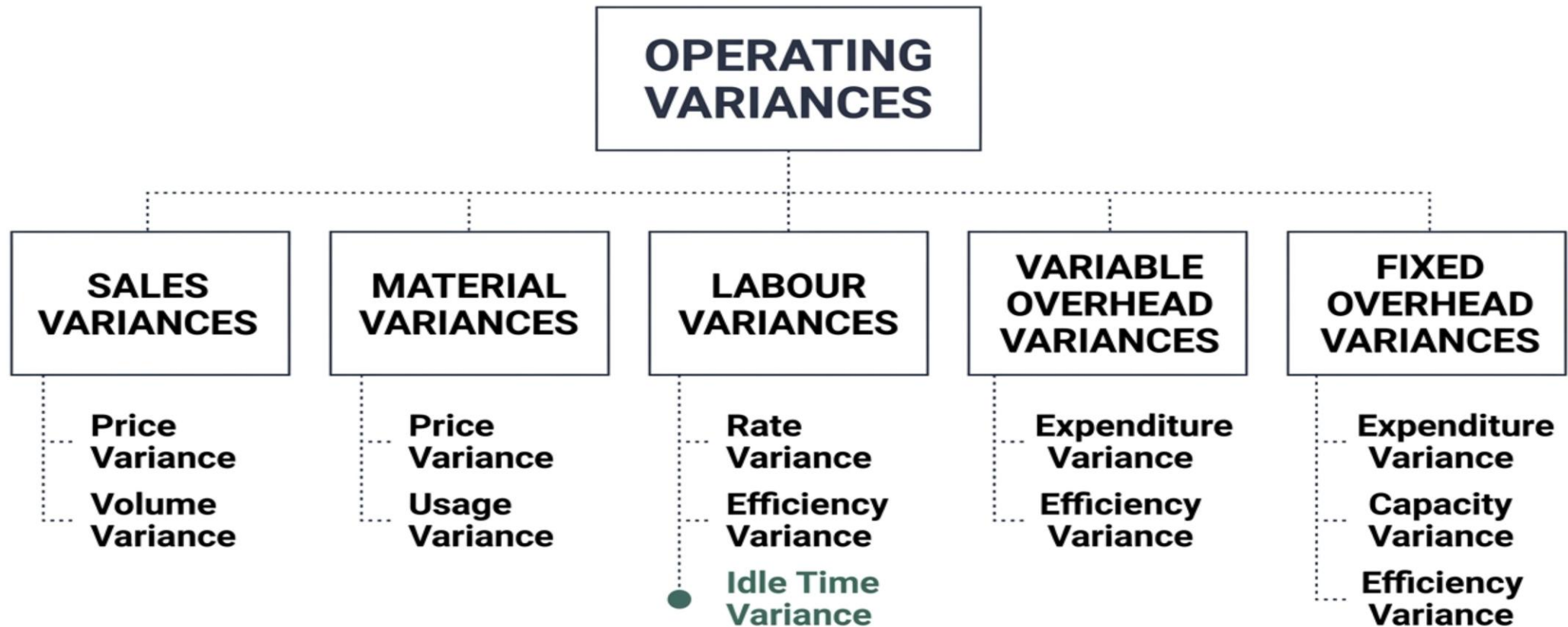
Fixed Overhead Variances

Fixed overhead variances assess whether fixed costs were controlled within budget (expenditure variance) and whether production capacity was used efficiently relative to plan (capacity and efficiency variances).

Variance	Favourable (F) — Possible Causes	Unfavourable/Adverse (U/A) — Possible Causes
(ix) Fixed Overhead Expenditure Variance	Actual fixed overhead expenditure lower than budgeted; cost savings; lower rent, salaries, depreciation or administrative expenses.	Actual fixed overhead expenditure higher than budgeted; unexpected repairs; salary increases; higher insurance, rent or other fixed operating costs.
(x) Fixed Overhead Capacity Variance	Actual production capacity/activity higher than budgeted, resulting in greater absorption of fixed overheads.	Actual production capacity/activity lower than budgeted due to reduced demand, machine breakdowns, labour shortages or production interruptions.
(xi) Fixed Overhead Efficiency Variance	Actual hours used to produce actual output less than standard hours, indicating efficient production and greater absorption of fixed overheads.	Actual hours used greater than standard hours for actual output, indicating inefficient production, poor labour productivity, machine problems or production delays.

Variance Analysis — Summary Framework

The following infographic summarises the full hierarchy of operating variances covered in this topic, providing a structured reference for variance analysis in practice.



Remember: a favourable variance is not automatically good, and an adverse variance is not automatically bad. Always investigate the root cause and business context before drawing conclusions or taking corrective action.

8.6 Other Budget Terms — Classification by Period & Purpose

Budgets can be classified in several ways. Understanding these classifications helps organisations select the most appropriate budgeting framework for their context.

By Period

- **Monthly Budget:** Prepared for a one-month period to facilitate short-term planning, cash management and monitoring of monthly performance.
- **Annual Budget:** Covers a full financial year, providing an overall plan for the organisation's expected revenues, expenditures, activities and financial position.

By Purpose

- **Programme Budget:** Allocates resources to specific programmes or activities based on the objectives and outputs the organisation intends to achieve.
- **Performance Budget:** Links financial resources to measurable activities, outputs and performance targets, allowing assessment of whether resources are producing the intended results.
- **Supplementary Budget:** An additional budget prepared during the financial year to provide for unplanned or additional expenditure not adequately provided for in the original approved budget.

8.6 Budget Classification by Expenditure Type & Flexibility

By Type of Expenditure (*mainly public sector*)

- **Development / Capital Budget:** Covers expenditure that creates, acquires or improves long-term assets or productive capacity buildings, infrastructure, machinery and major equipment.
- **Recurrent Budget:** Covers the day-to-day operating expenses required to run an organisation salaries, utilities, maintenance, supplies and administrative expenses.

By Flexibility

- **Static / Fixed Budget:** Prepared for a specific level of activity and does not change when the actual level of activity differs from the budgeted level. Simple but limited for performance evaluation when activity levels vary.
- **Flexible Budget:** Designed to adjust according to the actual level of activity, making it far more useful for performance evaluation and variance analysis. Separates fixed and variable cost behaviour to produce a "what should we have spent at this level of activity?" benchmark.

8.7 Benefits of Budgeting



Planning & Control

Provides a structured financial plan for future activities and a benchmark for monitoring actual performance against planned results.



Strategic Thinking

Encourages managers to consider the organisation's long-term objectives, future opportunities, risks and resource requirements.



Efficiency & Cost Reduction

Encourages managers to use resources efficiently by setting spending limits and identifying unnecessary or excessive expenditure.



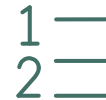
Increases Profits

By planning revenues, controlling costs and allocating resources effectively, budgeting helps the organisation improve its profitability.



Performance Evaluation

Budgeted targets provide benchmarks against which actual revenues, costs and results can be compared to assess organisational and managerial performance.



Prioritisation & Delegation

Assists management in allocating limited resources to high-priority activities and facilitates delegation of authority within clear financial limits.

8.7.2 Challenges & Limitations of Budgeting

Relies on Historical Data

Budgets often use past financial and operational information as a basis for forecasting, but historical data may be outdated, incomplete or not representative of future conditions.

Requires Accurate Forecasting Tools

Effective budgeting depends on reliable forecasting techniques and assumptions, yet changes in market conditions, prices, demand and other uncertainties can make forecasts inaccurate.

Danger of Rigidity

Once approved, budgets may become too rigid and discourage managers from responding quickly to unexpected opportunities or changes in operating conditions.

Expensive and Time-Consuming

The budgeting process can be costly because it requires considerable management effort, data collection, analysis, coordination, monitoring and periodic review.

Relies on Goodwill of Managers

Budgeting depends on managers and employees providing honest estimates and working towards agreed targets, but they may create budgetary slack, manipulate information or resist targets they consider unrealistic. See Budget Slack next slide

Budgetary Slack — A Key Behavioural Risk

What Is Budgetary Slack?

Budgetary slack occurs when managers deliberately **overstate costs** or **understate revenues** in their budget submissions, creating a buffer that makes targets easier to achieve. It is a common behavioural response to performance-linked budgets.

Slack is most prevalent under **incremental budgeting**, where inflated figures from one period are automatically carried forward to the next.

Why It Matters

- Distorts resource allocation, resources are directed to areas that don't need them.
- Undermines the accuracy and credibility of the budget as a planning and control tool.
- Reduces organisational efficiency and profitability.
- Can be reduced through **participative budgeting**, **ZBB**, and strong management review processes.

Mitigation Strategies

- Rigorous budget review and challenge by senior management.
- Linking rewards to realistic targets rather than budget achievement alone.
- Zero-based budgeting to force justification of all expenditure.

8.8 Key Success Factors for Budgeting

The following strategies are essential to making the budgeting process effective and delivering real organisational value:

Clear Objectives & Priorities

Budgeting should be aligned with the organisation's strategic goals and priorities, ensuring that resource allocation reflects what matters most.

Management Commitment & Participation

Senior management should actively support and participate in the budgeting process, setting the tone and demonstrating that budgets are taken seriously.

Reliable & Realistic Information

Budgets should be based on accurate data, realistic assumptions and credible forecasts not wishful thinking or politically motivated figures.

Participation & Accountability

Relevant managers and employees should participate in setting budgets and be held accountable for achieving them, fostering ownership and commitment.

Effective Monitoring & Flexibility

Actual performance should be regularly compared with budgets, with corrective action and revisions made when circumstances change significantly.

Topic 8 — Key Takeaways

01 A Budget Is a Quantified Plan

It translates strategy into money terms, enabling implementation, coordination, communication, motivation, control and performance evaluation.

03 Three Main Approaches

Incremental (simple, but perpetuates inefficiency), Zero-Based (rigorous, but costly), and Rolling (flexible, but resource-intensive). Choose based on context.

05 Variance Analysis Drives Control

Eleven key variance categories, sales, material, labour, variable overhead and fixed overhead, enable management by exception and corrective action.

02 The Budgeting Process Has Eight Steps

From communicating objectives and identifying limiting factors, through drafting, negotiating, coordinating and approving, to implementing and monitoring.

04 Twelve Budget Types Feed the Master Budget

Revenue, production, inventory, materials, labour, overheads, non-production costs, profit/loss, SFP, cash and capital budgets all interlink.

06 Success Requires Commitment, Realism & Flexibility

Clear objectives, management buy-in, reliable data, broad participation, and ongoing monitoring are the foundations of effective budgeting.